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Kenya Pipeline Company Initial Public Offer

The Kenya Pipeline Company IPO is finally here. We had earlier released our perspective on the opportunity in our pre IPO note (here).

In this IPO, the government is seeking to sell 11,812,644,350 shares at KES 9.0 per share, targeting proceeds of KES 106.31 Bn. This pricing implies a valuation of KES 163.56 Bn for the company. The government intends to deploy the proceeds toward commercially viable infrastructure priorities, specifically within Energy, Roads, Water and Irrigation, and Airports.

Below are the key details to take note of;

Important Information	
Offer Price per offer	KES 9.00
Par Value offer share	KES 0.02
Authorized share capital	KES 387, 391,600
Total number of issued ordinary shares of the company	18,173,299,600
Total number of offer shares	11,812,644,350
DPS for the 12 month period ended 30 June 2025	KES 312.2
EPS for the 12 month period ended 30 June 2025	2025 KES 412.2 (Post share split EPS is KES 0.4122)
Implied EV/EBITDA multiple	8.1X
Minimum No of Shares to participate	100

Source: KPC Prospectus

#	Investors Class	Allocation
1	Kenyan Investors Pool - Retail	20.0%
2	Kenyan Investors Pool - Institutional	20.0%
3	Investors from the EAC	20.0%
4	Foreign investors	20.0%
5	OMCs	15.0%
6	KPC Employees	5.0%

Source: KPC Prospectus

KPC is fundamentally strong, enjoying a monopoly-like position in the midstream oil segment and benefiting from significant industry entry barriers. Several growth catalysts support the company's future expansion: rising domestic throughput is projected to increase from 5.8 Mn m^3 in FY2024/25 to 6.8 Mn m^3 by FY2029/30, while transit imports through the Port of Mombasa are expected to grow from 4.1 Mn m^3 to 5.0 Mn m^3 over the same period. Demand across the broader East African region remains resilient, and management is actively pursuing opportunities to expand its regional market share. In addition, KPC is unlocking value from its optic fibre network, with plans to offer LIT fibre products alongside dark fibre leases. Based on the latest financials, KPC trades at an EV/EBITDA of 8.1x, a PE of 21.8x, a PB of 1.7x, and offers a dividend yield of 3.9%. We further compared this valuation metrics with peers listed within the energy sector, where, in our pre-IPO note, we identified comparable oil focused companies outside the Kenyan market. Below is how KPC compares with its peers in the energy sector.



i) Comparison with energy sector peers listed on the Kenyan market

Price as at 19th January 2026 for the comparables

Company	Price	P/E	P/B	EPS	Total Dividend	Dividend Yield
KPLC	14.70	1.2x	0.3x	12.54	1.0	6.8%
Ken Gen	9.62	6.1x	0.2x	1.59	0.9	9.4%
Total Energies Kenya	39.3	16.7x	0.8x	2.4	1.9	4.9%
KPC	9.00	21.8x	1.7x	0.41	0.32	3.9%
Average (Excluding KPC)		8.0	0.4	5.5	1.3	7.0%
Median (Excluding KPC)		6.1	0.3	2.4	1.0	6.8%

Source: NSE, company financials, and AIB-AXYS Africa Research

See below for energy sector peers outside our market.

ii) Comparison with listed companies outside the Kenyan market

Company	Trailing P/E	Price/ Book	Enterprise Value/ EBITDA
Indian Oil Corporation Limited	8.77	1.13	6.1
Bharat Petroleum Corporation Limited	7.22	1.66	4.79
Hindustan Petroleum Corporation Limited	6.89	1.69	5.41
Mangalore Refinery and Petrochemicals Limited	23.71	1.85	8.68
Kenya Pipeline Company	21.8	1.7	8.1
Median (Excluding KPC)	8.0	1.7	5.8
Average (Excluding KPC)	11.6	1.6	6.2

Source: Yahoo Finance, AIB-AXYS Africa Research

From a valuation perspective, when compared to peers in emerging markets, we derive a PE and PB of 8.0x and 1.7x, respectively. KPC's valuation falls within the comparable ranges on both metrics, albeit at the upper end, pointing to a premium. We are of the view that the current valuation factors in a monopoly premium and the absence of cyclical business disruptions. We are also cognizant that KPC's predictable cash flow is underpinned by the nature of its business, offering a defensive play. In our opinion, the IPO price has priced in earnings durability and business stability. As such, we believe there are visible pockets of growth at KPC with the potential to accelerate earnings and support valuations over the long term, thereby improving both dividend yield and the PE. This is evidenced by a compounded annual growth rate of 4.4% in throughput, increasing to 9,115,000 m³ in 2024 from approximately 7,686,000 m³ in 2020. When combined with the company's regional expansion agenda, which is expected to drive revenue growth, these factors are well-positioned to support profitability. In addition, we are encouraged by the company's ambition to unlock value from its fibre optic network, alongside infrastructure modernization, expansion in LPG handling, and depot upgrades, all of which add further upside potential. However, investors should remain mindful of key risks, including oil price volatility, which could affect demand dynamics, and geopolitical developments that may disrupt global oil and gas supply chains.

Summary

KPC presents an investment case for investors seeking defensive exposure, as well as long-term investors focused on stable income, where sustained earnings growth is expected to translate into dividend increases over time. Notably, the company commits to a dividend payout ratio of 50.0% going forward, signaling strong confidence in its cash flow generation. This payout level remains well above the industry average, aligning closely with investors who adopt a long-term investment horizon rather than a short-term trading approach. Following the IPO, we expect corporate governance standards to improve, which should enhance operational efficiency and, in turn, support margin expansion and long-term profitability. While execution remains critical to the realization of growth initiatives, improved governance post IPO is likely to act as a key driver, strengthening strategy execution and supporting sustainable growth.



Income Statement Years ended 30th June	2025 Kshs. '000	2024 Kshs. '000	2023 Kshs. '000	2022 Kshs. '000	2021 Kshs. '000
Revenue	38,593,631.00	35,369,330.00	30,857,218.00	26,213,394.00	27,987,267.00
Cost of Services	(14,731,708.00)	(14,517,860.00)	(13,217,831.00)	(13,545,219.00)	(13,562,976.00)
GROSS PROFIT	**23,861,923.00**	**20,851,470.00**	**17,639,387.00**	**12,668,175.00**	**14,424,291.00**
Administrative Expenses	(14,097,885.00)	(8,489,738.00)	(9,879,942.00)	(5,962,030.00)	(10,139,509.00)
Impairment losses on financial assets	(212,086.00)	(756,591.00)	(713,742.00)	(1,067,139.00)	(588,730.00)
Impairment losses on non-financial assets	-	(75,705.00)	(3,618,375.00)	-	-
Fair value on unquoted investments	(326.00)	(467.00)	(2,107.00)	(2,313.00)	(28,625.00)
Other Income	2,471,806.00	832,124.00	977,870.00	635,348.00	470,668.00
Other Gains/(Losses)- Net	(92,406.00)	(2,231,387.00)	1,111,420.00	372,927.00	(653,927.00)
OPERATING PROFIT	**11,931,026.00**	**10,129,706.00**	**5,514,511.00**	**6,644,968.00**	**3,484,168.00**
Finance Income	478,284.00	888,457.00	883,056.00	823,216.00	349,127.00
Finance Costs	(390,938.00)	(479,197.00)	(970,109.00)	(836,786.00)	(1,233,865.00)
FINANCE INCOME/ (COSTS) - NET	**87,346.00**	**409,260.00**	**(87,053.00)**	**(13,570.00)**	**(884,738.00)**
PROFIT BEFORE TAX	**12,018,372.00**	**10,538,966.00**	**5,427,458.00**	**6,631,398.00**	**2,599,430.00**
Income Tax Expense	(4,527,164.00)	(3,133,271.00)	(2,130,257.00)	(2,394,220.00)	(4,337,483.00)
PROFIT/(LOSS) FOR THE YEAR	**7,491,208.00**	**7,405,695.00**	**3,297,201.00**	**4,237,178.00**	**(1,738,053.00)**
ESP	**412**	**408**	**181**	**233**	**(96)**

Source: KPC Prospectus

Balance Sheet Years ended 30th June	2025 Kshs. '000	2024 Kshs. '000	2023 Kshs. '000	2022 Kshs. '000	2021 Kshs. '000
Shareholder's Funds	98,394,772.00	91,988,433.00	80,975,729.00	79,983,729.00	87,786,976.00
Total Assets	139,007,776.00	133,059,633.00	119,006,239.00	118,046,364.00	129,769,172.00
Total Liabilities	40,613,004.00	41,071,200.00	38,030,510.00	38,062,388.00	41,983,051.00
NET Assets	**98,394,772.00**	**91,988,433.00**	**80,975,729.00**	**79,983,976.00**	**87,786,121.00**

Source: KPC Prospectus

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